Type MS · Mixed economy and the public and private sectors

Answer 1 of 11 · Question 2 part h · 9 marks

2023 JUN · Paper 01 (regional R) · extract 1 of 6 · find part h in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **C** Percentage change in quantity supplied / Percentage change in price A is not correct because this is the formula for PED B is not correct because this does not relate to PES D is not correct because this formula is not used in economics	**(1)**

Question number	A court in China ordered a firm to pay 10 000 Yuan because it polluted a local river. This is an example of which **one** of the following? **Answer**	**Mark**
2(b)	**AO2 1 mark** The only correct answer is: **A** A fine B is not correct because this would give a firm permission to do something C is not correct because this would encourage production due to reducing cost D is not correct because this is added to production costs or sale price	**(1)**

Question number	State **one** example of an external benefit. **Answer**	**Mark**
2(c)	**AO1 1 mark** Award 1 mark for an example of an external benefit • Education • Healthcare • Vaccinations Accept any other appropriate response	**(1)**

Type MS · Mixed economy and the public and private sectors

Answer 1 of 11 · Question 2 part h · 9 marks

2023 JUN · Paper 01 (regional R) · extract 2 of 6 · find part h in this mark scheme extract

	Calculate, to two decimal places, the **price elasticity of demand (PED)** for Sathvinder's cleaning service. You are advised to show your working. **Answer**	**Mark**
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation 1.9%/-1.2% **(1)** Award 1 mark for correct PED = -1.58 **(1)** Award 2 marks if PED is correctly calculated as -1.58, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Define the term entrepreneur. **Answer**	**Mark**
2(e)	**AO1 1 mark** Award 1 mark for a correct definition An individual who organises the factors of production Accept any other appropriate response	**(1)**

Question number	Describe **one** reason why water is a factor of production. **Answer**	**Mark**
2(f)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason Water is a natural resource that can be used by firms in production **(1)** therefore water is classed as land **(1)** Accept any other appropriate response.	**(2)**

Type MS · Mixed economy and the public and private sectors

Answer 1 of 11 · Question 2 part h · 9 marks

2023 JUN · Paper 01 (regional R) · extract 3 of 6 · find part h in this mark scheme extract

Question number	Explain **one** effect on the supply of rice following a change in its equilibrium price. **Answer**	**Mark**
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant effect Award 1 mark for developing the effect Award 1 mark for the response being in context • A price increase would increase the quantity supplied **(1)**. An increase from $2.20 to $2.30 results in a higher quantity **(1)** because producers would increase profits **(1)** • A price decrease would decrease the quantity supplied **(1)**. A decrease by $0.10 results in a lower quantity **(1)** leading to a movement along the supply curve **(1)** Accept any other appropriate response	**(3)**

Type MS · Mixed economy and the public and private sectors

Answer 1 of 11 · Question 2 part h · 9 marks

2023 JUN · Paper 01 (regional R) · extract 4 of 6 · find part h in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the benefits of the public sector providing outdoor areas or parks. **Indicative content**
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The public sector is a part of the economy which is owned by the government and which operates in the public interest • It places dependence on the state for production of goods and services and places a high degree of importance on the state controlling this production • The state plays a key role in the provision of key public services such as; education, healthcare, social care and infrastructure • Amongst the aims of this sector are reducing social costs and increasing social benefits • If the public sector is responsible for the creation and maintenance of outdoor areas or parks, the space would be available to everyone, providing a social benefit • This could improve the health of anyone who uses these areas, meaning that there is less need for healthcare and so less public spending would be required in this area, reducing social costs **AO4** • If the public sector uses its finances to create/maintain parks it means less government revenue would be available for other things such as health and education • There is a cost in creating and maintaining the parks which must be funded by the government • The opportunity cost of providing more land for parks is the potential loss of housing and infrastructure • If parks provided by the government become too busy to be enjoyed or to provide suitable opportunities for people's health to benefit, it may be necessary for private sector funding to help provide outdoor areas or parks • This is likely to involve charging for access which would restrict availability for all and associated health benefits

Type MS · Mixed economy and the public and private sectors

Answer 1 of 11 · Question 2 part h · 9 marks

2023 JUN · Paper 01 (regional R) · extract 5 of 6 · find part h in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Mixed economy and the public and private sectors

Answer 1 of 11 · Question 2 part h · 9 marks

2023 JUN · Paper 01 (regional R) · extract 6 of 6 · find part h in this mark scheme extract

Question number	A minimum wage is a type of Answer	Mark

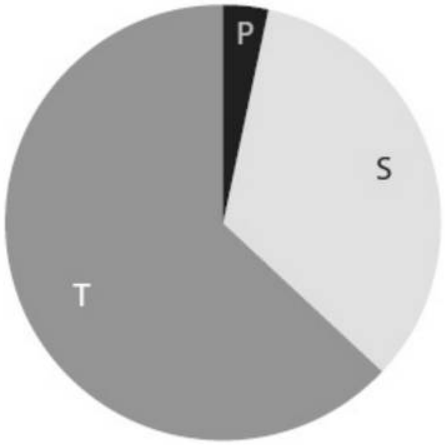
Type MS · Mixed economy and the public and private sectors

Answer 2 of 11 · Question 2 part b · 1 mark

2019 JUN · Paper 01 (regional R) · extract 1 of 6 · find part b in this mark scheme extract

2(a)	**AO1 1 mark** **C** Maximise profits	**(1)**

Question number	Answer	Mark
2(b)	**AO2 1 mark** **B** Roads	**(1)**

Question number	Answer	Mark
2(c)	**AO2 3 marks**  Award 1 mark for the Tertiary sector (T) being the biggest **(1)** Award 1 mark for the Secondary sector (S) being the second biggest **(1)** Award 1 mark for the Primary sector (P) being the smallest **(1)**	**(3)**

Type MS · Mixed economy and the public and private sectors

Answer 2 of 11 · Question 2 part b · 1 mark

2019 JUN · Paper 01 (regional R) · extract 2 of 6 · find part b in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO1 1 mark** Award 1 mark for reference to a person using a common resource they have not paid for A person who takes advantage of a common resource without paying for it	**(1)**

Question number	Answer	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason Congestion causes pollution **(1)** which harms the health of third parties such as pedestrians **(1)** Accept any other appropriate response	**(2)**

Type MS · Mixed economy and the public and private sectors

Answer 2 of 11 · Question 2 part b · 1 mark

2019 JUN · Paper 01 (regional R) · extract 3 of 6 · find part b in this mark scheme extract

Question number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in the context of health care • One reason is that there may not be enough doctors available in the public sector to administer the vaccination **(1)** meaning pharmacies in the private sector are needed to help meet the high demand **(1)** if the government is to fulfil its aim of protecting the vulnerable groups **(1)** Accept any other appropriate response	**(3)**

Type MS · Mixed economy and the public and private sectors

Answer 2 of 11 · Question 2 part b · 1 mark

2019 JUN · Paper 01 (regional R) · extract 4 of 6 · find part b in this mark scheme extract

Question number	Indicative content
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Private benefits + external benefits = social benefits • The flu injection is given to the most vulnerable groups because they are more likely to require further healthcare if they became ill from flu • This further healthcare would also be a cost to the UK Government, and so it may be cheaper to prevent the problem with the vaccination in the first place • By reducing the number of people who become ill from the flu, further health care costs may be avoided as there is less risk of the illness spreading • By keeping people healthy, they are more likely to be able to continue working and contribute to the output of the economy **AO4** • The money spent on the vaccinations could be used for other healthcare needs • It may be difficult to distinguish between the groups most in need of the vaccination, so not everyone receives the injection • The vaccination may not work so health care costs may still rise • It is difficult to quantify the costs and external benefits • It depends on other factors whether people become ill

Type MS · Mixed economy and the public and private sectors

Answer 2 of 11 · Question 2 part b · 1 mark

2019 JUN · Paper 01 (regional R) · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Mixed economy and the public and private sectors

Answer 2 of 11 · Question 2 part b · 1 mark

2019 JUN · Paper 01 (regional R) · extract 6 of 6 · find part b in this mark scheme extract

Question number	Answer	Mark

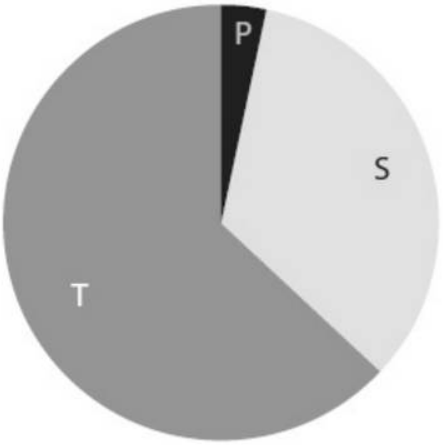
Type MS · Mixed economy and the public and private sectors

Answer 3 of 11 · Question 2 part f · 3 marks

2019 JUN · Paper 01 (regional R) · extract 1 of 6 · find part f in this mark scheme extract

2(a)	**AO1 1 mark** **C** Maximise profits	**(1)**

Question number	Answer	Mark
2(b)	**AO2 1 mark** **B** Roads	**(1)**

Question number	Answer	Mark
2(c)	**AO2 3 marks**  Award 1 mark for the Tertiary sector (T) being the biggest **(1)** Award 1 mark for the Secondary sector (S) being the second biggest **(1)** Award 1 mark for the Primary sector (P) being the smallest **(1)**	**(3)**

Type MS · Mixed economy and the public and private sectors

Answer 3 of 11 · Question 2 part f · 3 marks

2019 JUN · Paper 01 (regional R) · extract 2 of 6 · find part f in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO1 1 mark** Award 1 mark for reference to a person using a common resource they have not paid for A person who takes advantage of a common resource without paying for it	**(1)**

Question number	Answer	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason Congestion causes pollution **(1)** which harms the health of third parties such as pedestrians **(1)** Accept any other appropriate response	**(2)**

Type MS · Mixed economy and the public and private sectors

Answer 3 of 11 · Question 2 part f · 3 marks

2019 JUN · Paper 01 (regional R) · extract 3 of 6 · find part f in this mark scheme extract

Question number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in the context of health care • One reason is that there may not be enough doctors available in the public sector to administer the vaccination **(1)** meaning pharmacies in the private sector are needed to help meet the high demand **(1)** if the government is to fulfil its aim of protecting the vulnerable groups **(1)** Accept any other appropriate response	**(3)**

Type MS · Mixed economy and the public and private sectors

Answer 3 of 11 · Question 2 part f · 3 marks

2019 JUN · Paper 01 (regional R) · extract 4 of 6 · find part f in this mark scheme extract

Question number	Indicative content
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Private benefits + external benefits = social benefits • The flu injection is given to the most vulnerable groups because they are more likely to require further healthcare if they became ill from flu • This further healthcare would also be a cost to the UK Government, and so it may be cheaper to prevent the problem with the vaccination in the first place • By reducing the number of people who become ill from the flu, further health care costs may be avoided as there is less risk of the illness spreading • By keeping people healthy, they are more likely to be able to continue working and contribute to the output of the economy **AO4** • The money spent on the vaccinations could be used for other healthcare needs • It may be difficult to distinguish between the groups most in need of the vaccination, so not everyone receives the injection • The vaccination may not work so health care costs may still rise • It is difficult to quantify the costs and external benefits • It depends on other factors whether people become ill

Type MS · Mixed economy and the public and private sectors

Answer 3 of 11 · Question 2 part f · 3 marks

2019 JUN · Paper 01 (regional R) · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Mixed economy and the public and private sectors

Answer 3 of 11 · Question 2 part f · 3 marks

2019 JUN · Paper 01 (regional R) · extract 6 of 6 · find part f in this mark scheme extract

Question number	Answer	Mark

Type MS · Mixed economy and the public and private sectors

Answer 4 of 11 · Question 1 part c · 2 marks

2020 JAN · Paper 01 (regional R) · extract 1 of 5 · find part c in this mark scheme extract

1(a)	**AO1 1 mark** **C** 0	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** **B** $4 500 profit	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to both the public and private sectors and 1 mark for reference to providing goods and services The public and private sectors **(1)** provide goods and services between them **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct example Retailer/Banker/Teacher Accept any other appropriate response	**(1)**

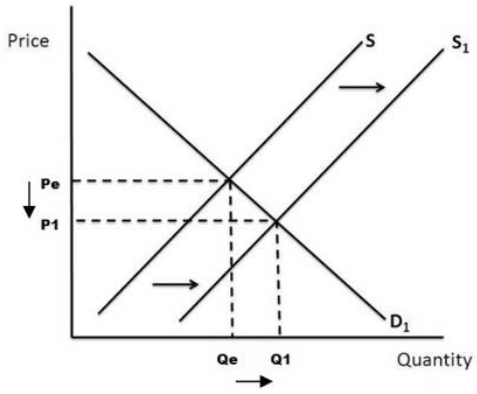
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A group with the authority to run a country or state Accept any other appropriate response	**(1)**

Type MS · Mixed economy and the public and private sectors

Answer 4 of 11 · Question 1 part c · 2 marks

2020 JAN · Paper 01 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 12 ÷ 5 **(1)** Award 1 mark for correct income elasticity of demand (YED) = 2.4 **(1)** Award 2 marks if YED is correctly calculated as 2.4, even if no calculations are shown Do not award marks for the formula	**(2)**

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of supply, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Mixed economy and the public and private sectors

Answer 4 of 11 · Question 1 part c · 2 marks

2020 JAN · Paper 01 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant opportunity cost Award 1 mark for developing the opportunity cost Award 1 mark for the response being in context • One opportunity cost is the firm may not be able to employ additional staff **(1)** it cannot buy the computer system and employ additional staff **(1)** because it does not have enough resources/money to fund both **(1)** Accept any other appropriate response.	**(3)**

Type MS · Mixed economy and the public and private sectors

Answer 4 of 11 · Question 1 part c · 2 marks

2020 JAN · Paper 01 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • An oligopoly is a market that is dominated by a few large producers • 87% of Dubai's shopping malls are owned by just five firms, meaning that the market is dominated by a few large producers • The shopping malls are differentiated by a variety of features such as an indoor ski slope and an indoor aquarium. Differentiation is a feature of an oligopoly • By offering something different the shopping malls are able to use non price competition to attract a share of the tourism sector that visits one of the busiest shopping destinations in the world • Sales are predicted to reach $71bn by 2021 making the owners of the shopping malls very dominant. This would create a barrier to entry, another feature of an oligopoly

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Mixed economy and the public and private sectors

Answer 4 of 11 · Question 1 part c · 2 marks

2020 JAN · Paper 01 (regional R) · extract 5 of 5 · find part c in this mark scheme extract

Question number	Answer	Mark

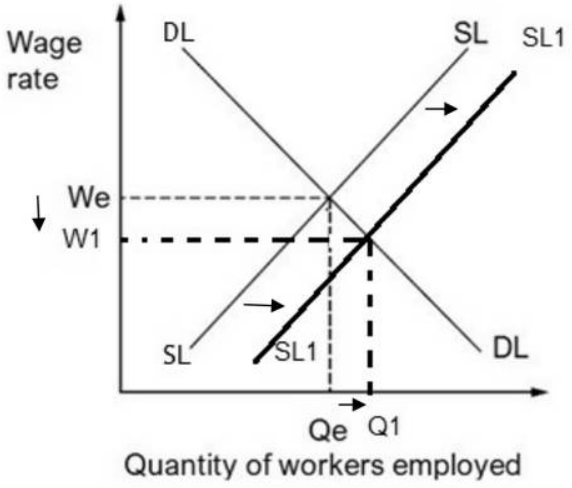
Type MS · Mixed economy and the public and private sectors

Answer 5 of 11 · Question 3 part e · 9 marks

2020 NOV · Paper 01 (regional R) · extract 1 of 5 · find part e in this mark scheme extract

3(a)	**AO1 1 mark** **B** Flexibility	**(1)**

Question number	Answer	Mark
3(b)	**AO1 1 mark** **D** Price inelastic	**(1)**

Question number	Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for rightward shift of labour supply, labelled Award 1 mark for lower equilibrium wage rate, labelled Award 1 mark for higher equilibrium quantity of workers employed, labelled  	**(3)**

Type MS · Mixed economy and the public and private sectors

Answer 5 of 11 · Question 3 part e · 9 marks

2020 NOV · Paper 01 (regional R) · extract 2 of 5 · find part e in this mark scheme extract

Question number	Indicative content
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Collusion is where a firm in an oligopoly cooperates with its competitors • It is an anti-competitive practice because it makes firms such as those in the pharmaceutical industry, act like a monopoly • This means it is more difficult for new firms to enter the market and reduces the choice for consumers • This could make it more difficult for consumers to find cheaper medication or to have less choice of the firm they buy from • Collusion to fix prices could lead to the pharmaceutical firms receiving higher profits at the expense of the consumer • One such example of price fixing for prescribed medication was the consumer paying $4.70 instead of just $0.13 per tablet

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Mixed economy and the public and private sectors

Answer 5 of 11 · Question 3 part e · 9 marks

2020 NOV · Paper 01 (regional R) · extract 3 of 5 · find part e in this mark scheme extract

Question number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The public sector is a part of the economy which is owned by the government and which operates in the public interest • By providing funding for roads in Cambodia, repairs could be made to the > half of the 6,000 km of roads in need of maintenance • This could improve the safety standard of roads and lead to fewer accidents, meaning more people are available to work in the Cambodian economy • It could also allow construction of new roads that can cope with increased business in Cambodia • This would most likely create positive externalities for Cambodian businesses that could benefit from cheaper/quicker transportation of goods • This would mean business could continue to grow in Cambodia, providing more revenue for the government through taxes **AO4** • However, the cost of improving the roads means less government revenue would be available for other things such as health and education • Therefore the Cambodian economy may not benefit as much from public sector investment to improve the roads as if the money was invested elsewhere • There is a high number of roads 'of poor quality' meaning it may take a long time for the Cambodian economy to benefit from the public sector investment • If the Cambodian economy continues to grow, further construction of roads may be needed and the public sector investment may not be able to keep up with the growth

Type MS · Mixed economy and the public and private sectors

Answer 5 of 11 · Question 3 part e · 9 marks

2020 NOV · Paper 01 (regional R) · extract 4 of 5 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–3**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	**4–6**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	**7–9**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Mixed economy and the public and private sectors

Answer 5 of 11 · Question 3 part e · 9 marks

2020 NOV · Paper 01 (regional R) · extract 5 of 5 · find part e in this mark scheme extract

Question number	Answer	Mark

Type MS · Mixed economy and the public and private sectors

Answer 6 of 11 · Question 2 part h · 9 marks

2020 NOV · Paper 01 · extract 1 of 6 · find part h in this mark scheme extract

2(a)	**AO2 1 mark** **C** Monopoly	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** **B** Consumers have habits that are hard to give up	**(1)**

Question number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for correct formula in words/as an equation $\frac{\text{\% change in quantity supplied}}{\text{\% change in price}}$	**(1)**

Type MS · Mixed economy and the public and private sectors

Answer 6 of 11 · Question 2 part h · 9 marks

2020 NOV · Paper 01 · extract 2 of 6 · find part h in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for identifying the variable costs 2 000 + 15 000 **(1)** Award 1 mark for calculating total variable costs = 17 000 QR **(1)** Award 2 marks if total variable costs are correctly calculated as 17 000QR, even if no calculations are shown Award 1 mark if total variable costs are correctly calculated as 17 000 even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for reference to obtaining control of another firm One firm buys control of another firm Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason In the short term, consumers may not be able to find an alternative product to switch to **(1)** and so it is only in the longer term that they have more opportunity to look for substitutes **(1)** Accept any other appropriate response	**(2)**

Type MS · Mixed economy and the public and private sectors

Answer 6 of 11 · Question 2 part h · 9 marks

2020 NOV · Paper 01 · extract 3 of 6 · find part h in this mark scheme extract

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that a fine may encourage the driver to stay within the speed limit **(1)** because driving too fast may cause accidents **(1)** therefore, fines are likely to reduce the number of accidents and reduce negative externalities **(1)** Accept any other appropriate response	**(3)**

Type MS · Mixed economy and the public and private sectors

Answer 6 of 11 · Question 2 part h · 9 marks

2020 NOV · Paper 01 · extract 4 of 6 · find part h in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The public sector is when government organisations provide goods and services in an economy • The private sector is when the provision of goods and services is by businesses that are owned by individuals or groups of individuals • The economic problem is what, how and for whom to produce when there are finite resources to meet infinite wants • In the private sector businesses such as those producing electronics in Japan, are likely to want to meet the business objective of profit maximisation • Therefore there are likely to be fewer wasted resources, as firms try to keep costs as low as possible when meeting the demand from consumers. This is because resources are likely to be allocated according to the forces of supply and demand • It may therefore rely more on private sector ownership because this is likely to be more efficient when producing goods and services that consumers want, such as clothes, leisure and entertainment • This would mean private sector ownership is more effective in solving the economic problem **AO4** • However, with public sector ownership, the best interests of the public are more likely to be the main objective • Therefore reliance on mostly public sector ownership is likely to be more effective for goods and services that may not be produced in high enough quantities by private sector ownership, such as education, health and street lighting • Although public sector ownership may not be the most efficient, without it, resources may not be used to produce everything needed within an economy • Therefore countries such as Cuba may benefit more from producing with a higher reliance on public sector ownership when trying to solve the economic problem

Type MS · Mixed economy and the public and private sectors

Answer 6 of 11 · Question 2 part h · 9 marks

2020 NOV · Paper 01 · extract 5 of 6 · find part h in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–3**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	**4–6**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	**7–9**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Mixed economy and the public and private sectors

Answer 6 of 11 · Question 2 part h · 9 marks

2020 NOV · Paper 01 · extract 6 of 6 · find part h in this mark scheme extract

Question number	Answer	Mark

Type MS · Mixed economy and the public and private sectors

Answer 7 of 11 · Question 4 part b · 6 marks

2022 JUN · Paper 01 (regional R) · extract 1 of 5 · find part b in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation (4,200 + 6,000 + 3,250) - 9,600 **(1)** Award 1 mark for correct excess demand = 3,850 tickets **(1)** Award 2 marks if excess demand is correctly calculated as 3,850 tickets even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Indicative content
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • In the public sector, the government provides goods and services in the economy • It places dependence on the state for production of goods and services whereas the majority of goods and services in the private sector are provided by private firms • The public sector in Cuba places a high degree of importance on the state controlling production, playing a key role in the provision of key public services such as; education, healthcare, social care and infrastructure • Many jobs are guaranteed by the state as shown by the 75% directly employed by the state • It is easier to provide much needed public goods • It is more able to monitor and control externalities

Type MS · Mixed economy and the public and private sectors

Answer 7 of 11 · Question 4 part b · 6 marks

2022 JUN · Paper 01 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Mixed economy and the public and private sectors

Answer 7 of 11 · Question 4 part b · 6 marks

2022 JUN · Paper 01 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

Question number	Indicative content
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Economies of scale are falling average costs (in the long-run) due to expansion • Diseconomies of scale are rising average costs (in the long-run) because a firm grows too large • The combined number of consumers using the messaging apps is over 2.6 billion meaning that the costs are reduced because they are spread over a large number of users • By allowing messages to be sent between Instagram, WhatsApp and Facebook Messenger, less software would be needed • This means that the combined apps would be making better use of essential resources, leading to lower (long-term) average costs (technical economies) • Managerial economies may be present as specialist managers could oversee the whole messaging service, rather than having separate people in charge of each app • (Long-run) average costs could also be reduced as all three apps could be advertised together, therefore spreading the marketing costs and allowing marketing economies to take place • As the group of apps is so large, financial economies are likely because it would be able to get access to money more cheaply than a smaller firm **AO4** • However, some employees are unhappy because Mark Zuckerberg has changed his plans since acquiring Instagram and WhatsApp, meaning they may not work as efficiently and diseconomies of scale may occur • The founders of Instagram and WhatsApp have already left and other employees may do the same if they do not understand the changes. This is likely to increase (long-run) average costs if Facebook needs to recruit new employees • Communication problems and a lack of control may be caused by having such a large firm trying to integrate resources. As the messaging services rely on technology being used effectively, this may lead to diseconomies of scale • As the combined number of users is already more than 2.6 billion, the apps may have already reached the most efficient point and the lowest (long-run) average cost • It will take time for the technology to be successfully implemented and so economies of scale may not occur for several years • If problems occur whilst combining the services, consumers may become frustrated and move to a competitor • It may depend on the outcome of combining the services whether economies or diseconomies of scale occur

Type MS · Mixed economy and the public and private sectors

Answer 7 of 11 · Question 4 part b · 6 marks

2022 JUN · Paper 01 (regional R) · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Mixed economy and the public and private sectors

Answer 7 of 11 · Question 4 part b · 6 marks

2022 JUN · Paper 01 (regional R) · extract 5 of 5 · find part b in this mark scheme extract

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Type MS · Mixed economy and the public and private sectors

Answer 8 of 11 · Question 1 part e · 1 mark

2023 JAN · Paper 01 · extract 1 of 6 · find part e in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **B** A secondary sector firm A is not correct because a primary sector firm extracts natural resources C is not correct because a tertiary firm produces services D is not correct because this is the tertiary sector	**(1)**

Question number	What is the monthly labour productivity of the firm? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **B** 50 units A is not correct because this is 540 / 27,000 C is not correct because this is 540 + 27,000 D is not correct because this is 540 x 27,000	**(1)**

Question number	What is meant by the term division of labour? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award 1 mark for reference to breaking production up and 1 mark for reference to employees are allocated only one task When a firm breaks up the production process **(1)** so that employees perform only one task **(1)** Accept any other appropriate response	**(2)**

Type MS · Mixed economy and the public and private sectors

Answer 8 of 11 · Question 1 part e · 1 mark

2023 JAN · Paper 01 · extract 2 of 6 · find part e in this mark scheme extract

Question number	State one factor of production. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct factor • Land/labour/capital/enterprise	**(1)**

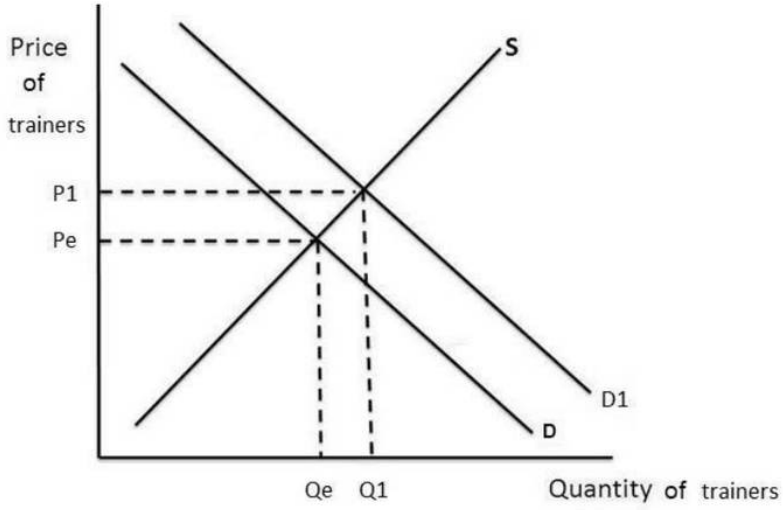
Question number	Define the term public sector. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition Government provision of goods/services Accept any other appropriate response	**(1)**

Question number	Calculate, to two decimal places, the price elasticity of demand (PED) for Yusef's portraits. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 3.2% / -2.5% **(1)** Award 1 mark for correct PED = -1.28 **(1)** Award 2 marks if PED is correctly calculated as -1.28, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Mixed economy and the public and private sectors

Answer 8 of 11 · Question 1 part e · 1 mark

2023 JAN · Paper 01 · extract 3 of 6 · find part e in this mark scheme extract

Question number	Using the diagram below, draw the likely effects on the market after a popular celebrity was seen wearing trainers. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of demand, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	(3)

Type MS · Mixed economy and the public and private sectors

Answer 8 of 11 · Question 1 part e · 1 mark

2023 JAN · Paper 01 · extract 4 of 6 · find part e in this mark scheme extract

Question number	Explain one reason why Spice Cottage may not aim to maximise its profit. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying a reason Award 1 mark for developing the response Award 1 mark for the response being in context • A business may have alternative business objectives, such as survival/growth **(1)** by selling at a lower price, Spice Cottage may not maximise revenue and therefore may not maximise profit either **(1)** the business may therefore attract more consumers due to the lower price, which will help the new firm to survive/grow **(1)** Accept any other appropriate response	**(3)**

Type MS · Mixed economy and the public and private sectors

Answer 8 of 11 · Question 1 part e · 1 mark

2023 JAN · Paper 01 · extract 5 of 6 · find part e in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse why this knowledge could be useful to a firm such as Megabus. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • These figures allow Megabus to calculate income elasticity of demand • Bus travel has an income elasticity of -15%/10% = -1.5 • The value of income elasticity is negative and therefore an inferior good • An inferior good is a product or service which has a decrease in quantity demand as incomes increase and increase in quantity demanded as incomes decrease (they have an inverse relationship) • Bus travel is income elastic because the percentage decrease in quantity demanded is greater than the percentage increase in income • This means that if passengers' incomes increase the demand for bus travel will fall but if incomes fall the demand for bus travel will rise • Awareness of this may allow Megabus to reduce/increase the services it offers in Canada, the US or the UK, depending on where incomes change • This could help to reduce costs if there is less demand for bus services • This can also help Megabus to plan employee requirements so it does not incur higher wage costs than necessary

Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Mixed economy and the public and private sectors

Answer 8 of 11 · Question 1 part e · 1 mark

2023 JAN · Paper 01 · extract 6 of 6 · find part e in this mark scheme extract

Question Number	Which one of the following options is the type of market shown in Figure 2? **Answer**	Mark

Type MS · Mixed economy and the public and private sectors

Answer 9 of 11 · Question 1 part c · 2 marks

2024 JUN · Paper 01 (regional R) · extract 1 of 6 · find part c in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **A** 0 B is not correct because this is price inelastic supply C is not correct because supply is unitary price elasticity D is not correct because this is price elastic supply	**(1)**

Question number	Which **one** of the following is the most likely type of government policy to produce this decrease in costs? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **C** Increased subsidy A is not correct because this would not lower total costs B is not correct because this would be more likely to increase total costs D is not correct because increased taxation would increase total costs	**(1)**

Question number	What is meant by the term private sector? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition Firms owned by individuals or groups **(1)** that provide goods/ services **(1)** Accept any other appropriate response	**(2)**

Type MS · Mixed economy and the public and private sectors

Answer 9 of 11 · Question 1 part c · 2 marks

2024 JUN · Paper 01 (regional R) · extract 2 of 6 · find part c in this mark scheme extract

Question number	State **one** factor that may affect the supply of labour. **Answer**	**Mark**
1(d)	**AO1 1 mark** Award 1 mark for correct factor • Population • Migration • Retirement age • School-leaving age • Age distribution of population • Female participation • Skills and qualifications • Ability to move geographic locations • Ability to move to different types of employment Accept any other appropriate response	**(1)**

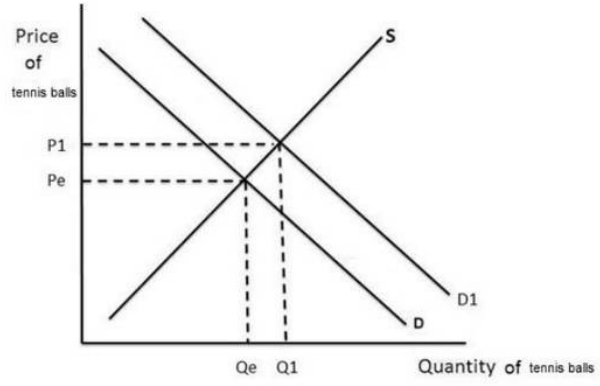
Question number	Define the term government. **Answer**	**Mark**
1(e)	**AO1 1 mark** Award 1 mark for a correct definition • A group with the authority to run a country/state Accept any other appropriate response	**(1)**

Type MS · Mixed economy and the public and private sectors

Answer 9 of 11 · Question 1 part c · 2 marks

2024 JUN · Paper 01 (regional R) · extract 3 of 6 · find part c in this mark scheme extract

Question number	Calculate, to two decimal places, the **income elasticity of demand (YED)** for a good if income increases by 6.2% and quantity demanded increases by 1.7%. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 1.7% ÷ 6.2% **(1)** Award 1 mark for correct income elasticity of demand (YED) = 0.27 **(1)** Award 2 marks if YED is correctly calculated as 0.27, even if no calculations are shown Do not award marks for the formula	**(2)**

Question number	Using the diagram below, draw the likely effects on the market for tennis balls after a fall in the price of tennis rackets. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for a rightward shift of demand, labelled Award 1 mark for a higher equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled  	**(3)**

Type MS · Mixed economy and the public and private sectors

Answer 9 of 11 · Question 1 part c · 2 marks

2024 JUN · Paper 01 (regional R) · extract 4 of 6 · find part c in this mark scheme extract

Question number	Explain **one** possible opportunity cost for the firm of this decision. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant opportunity cost Award 1 mark for developing the opportunity cost Award 1 mark for the response being in context • One opportunity cost is the firm may not be able to buy new machinery **(1)** because it does not have enough money to buy both **(1)** so it has to sacrifice the new machinery when buying the delivery vehicle **(1)** Accept any other appropriate response	**(3)**

Type MS · Mixed economy and the public and private sectors

Answer 9 of 11 · Question 1 part c · 2 marks

2024 JUN · Paper 01 (regional R) · extract 5 of 6 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse a possible reason why Jags chose not to maximise profit. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • It is an economic assumption that firms will want to profit maximise • By offering a free lunch to children during the school holiday Jags will reduce the profit made by the café • Due to the rising cost of living, customers in the small town may be more likely to visit Jags' café to benefit from a free lunch • Therefore, having aims which prioritise caring for customers may be beneficial to the café's revenue as well • It is possible Jags will attract positive publicity for her café by offering the free meals and enhance her reputation

Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Mixed economy and the public and private sectors

Answer 9 of 11 · Question 1 part c · 2 marks

2024 JUN · Paper 01 (regional R) · extract 6 of 6 · find part c in this mark scheme extract

Question number	Which **one** of the following diagrams shows excess demand? **Answer**	**Mark**

Type MS · Mixed economy and the public and private sectors

Answer 10 of 11 · Question 1 part c · 2 marks

2024 JUN · Paper 01 · extract 1 of 5 · find part c in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** Infinity A is not correct because this is unitary elasticity B is not correct because demand is price inelastic C is not correct because this is perfectly price inelastic demand	**(1)**

Question number	A country has a minimum wage of €6.04 per hour. If a worker provides 35 hours of labour in a week, the lowest weekly wage the worker can earn is **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **C** €211.40 A is not correct because this is only one hour of labour B is not correct because this is less than the minimum wage for a 35-hour week D is not correct because this is not the lowest amount that can be earned	**(1)**

Question number	What is meant by the term mixed economy? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition The state/public and private sectors **(1)** provide goods/services between them **(1)** Accept any other appropriate response	**(2)**

Type MS · Mixed economy and the public and private sectors

Answer 10 of 11 · Question 1 part c · 2 marks

2024 JUN · Paper 01 · extract 2 of 5 · find part c in this mark scheme extract

Question number	State **one** example of an occupation that is in the tertiary sector of an economy. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for a correct example • Teacher/Retailer/Banker Accept any other appropriate response	**(1)**

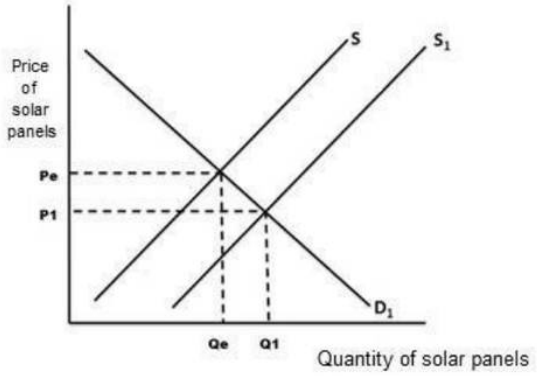
Question number	Define the term producer. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A person/company/country that makes/creates goods/services Accept any other appropriate response	**(1)**

Question number	Calculate, to two decimal places, the **income elasticity of demand (YED)** for a good if income increases by 7% and quantity demanded increases by 11%. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 11% ÷ 7% **(1)** Award 1 mark for correct income elasticity of demand (YED) = 1.57 **(1)** Award 2 marks if YED is correctly calculated as 1.57, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Mixed economy and the public and private sectors

Answer 10 of 11 · Question 1 part c · 2 marks

2024 JUN · Paper 01 · extract 3 of 5 · find part c in this mark scheme extract

Question number	Using the diagram below, draw the likely effects on the market for solar panels if the government removes an indirect tax on them. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	**Mark**
1(g)	**AO2 3 marks** Award 1 mark for a rightward shift of supply, labelled Award 1 mark for a lower equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled 	**(3)**

Question number	Explain one possible opportunity cost for Casper of this decision. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant opportunity cost Award 1 mark for developing the opportunity cost Award 1 mark for the response being in context • One opportunity cost is Casper may not be able to buy a new phone **(1)** because he does not have enough money for both **(1)** so he has to sacrifice the next best alternative when using the money he has to buy the television **(1)** Accept any other appropriate response	**(3)**

Type MS · Mixed economy and the public and private sectors

Answer 10 of 11 · Question 1 part c · 2 marks

2024 JUN · Paper 01 · extract 4 of 5 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse **two** possible factors influencing Anastasia's decision to open a second club. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Factors influencing the growth of firms include the desire to spread risk, to take over competitors, access to finance, economies of scale and government regulation • The martial arts club has been successful for a few years, meaning Anastasia may have access to finance • Therefore, she may have enough finance with which to open a second club in another district of Budapest • Although the club is successful in District 16, Anastasia may wish to spread the risk • In case demand changes at her existing club the revenue from the second club is able to support the running of the firm

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Mixed economy and the public and private sectors

Answer 10 of 11 · Question 1 part c · 2 marks

2024 JUN · Paper 01 · extract 5 of 5 · find part c in this mark scheme extract

Question number	Which **one** of the following diagrams shows excess supply? **Answer**	**Mark**

Type MS · Mixed economy and the public and private sectors

Answer 11 of 11 · Question 4 part c · 12 marks

2025 NOV · Paper 01 · extract 1 of 4 · find part c in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation 950 - 800 **(1)** Award 1 mark for correctly calculating the opportunity cost = 150 units of capital goods **(1)** Award 2 marks if the opportunity cost is correctly calculated as 150 units of capital goods, even if no calculations are shown Award 1 mark if the opportunity cost is calculated as 150, with or without calculations shown Do not award marks for the formula	**(2)**

Type MS · Mixed economy and the public and private sectors

Answer 11 of 11 · Question 4 part c · 12 marks

2025 NOV · Paper 01 · extract 2 of 4 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how income elasticity of demand (YED) may affect operators of public transport as incomes increase in Bulgaria. **Indicative content**
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • By calculating YED, operators of public transport would be able to see the likely effect on demand following an increase in income • Owing to the poor standard of rail travel and of buses often being late in Bulgaria, public transport may be an inferior good • Inferior goods have a negative income elasticity of demand, meaning as incomes increase, demand decreases • Therefore, an increase in income in Bulgaria is likely to lead to a fall in demand for bus and train travel as they switch to using private cars • This means operators of public transport would lose custom due to incomes increasing • Knowledge of YED would allow the operators to take action to improve quality/service according to the likely outcome of YED calculations

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Mixed economy and the public and private sectors

Answer 11 of 11 · Question 4 part c · 12 marks

2025 NOV · Paper 01 · extract 3 of 4 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, evaluate the extent to which public sector investment may benefit the economy of Western Australia. **Indicative content**
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • The public sector is a part of the economy which is owned by the government and operates in the public interest • An investment of AU$107m would greatly improve the Swan River ferry network, by increasing the number of ferries and stops along the river • This means there would be greater capacity to transport passengers (>130 people per ferry trip), connecting more people across the Perth area • Therefore, it may be easier/more accessible for people to work in more locations in Perth than without the increase in infrastructure • A greater number and variety of jobs is likely to be available both during the building and operation of the additional ferries • This would create a positive effect for local firms and may increase more revenue for the Western Australia Government through tax • Instead of causing a parking issue, the investment may reduce traffic, as the new stops would allow passengers to travel more easily by buses connecting with the ferries and/or access to university without using private transport **AO4** • However, the cost of expanding the ferry network means the Western Australian Government would have less revenue available for spending on health and education • Therefore, the economy of Western Australia may not benefit as much from public sector investment to improve the network as if the AU$107m was invested elsewhere • This may be intensified if parking by ferry users leads to accidents and/or congestion due to the increased usage • It will most likely take time for the building of new ferries and addition of new stops, meaning any benefit may not be seen for a number of years • Therefore, costs may be considerably higher than revenue, for the government and the economy during this time • Safety concerns have been raised, meaning additional spending may be needed to investigate potential dangers to small boat users and to rectify problems

Type MS · Mixed economy and the public and private sectors

Answer 11 of 11 · Question 4 part c · 12 marks

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Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).